



ORIENT FINANCE PLC

Unaudited Interim Financial Statements
For the Nine Months Ended 31 December 2021

ORIENT FINANCE PLC
INCOME STATEMENT

For the	03 Months Ended 31st December		09 Months Ended 31st December	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
	Unaudited	Unaudited	Unaudited	Unaudited
Income	813,157,244	729,954,983	2,153,431,566	1,913,350,394
Interest income	696,838,763	675,806,511	1,950,168,290	1,775,426,732
Interest expenses	(290,244,559)	(316,305,218)	(825,930,632)	(1,029,348,358)
Net interest income	406,594,204	359,501,293	1,124,237,658	746,078,375
Fee and commission income	14,503,441	31,611,146	63,344,849	90,402,371
Other operating income	49,157,403	22,537,327	139,918,427	47,521,291
Total operating income	470,255,048	413,649,765	1,327,500,934	884,002,036
Impairment charges for loans and receivables to customers	(4,744,714)	(67,887,182)	(84,548,209)	(132,650,293)
Net operating income	465,510,334	345,762,583	1,242,952,725	751,351,744
Operating expenses				
Personnel expenses	(124,828,454)	(103,768,783)	(353,520,633)	(310,557,280)
Depreciation and amortization	(15,055,609)	(8,852,435)	(42,641,480)	(26,114,252)
Other operating expenses	(144,684,758)	(131,733,249)	(412,248,215)	(329,170,074)
Operating profit/(loss) before Value Added	180,941,513	101,408,117	434,542,397	85,510,137
Value Added Tax and NBT on financial services	(42,010,251)	(30,709,121)	(87,918,085)	(35,588,125)
Profit/(loss) before income tax	138,931,262	70,698,996	346,624,312	49,922,012
Income tax expense	(10,153,095)	(4,779,797)	(17,245,296)	(4,779,797)
Profit/(loss) for the period	128,778,167	65,919,198	329,379,016	45,142,215
Other comprehensive income/(expenses)				
Change in fair value of financial assets at fair value through other comprehensive income	1,881,224	0	9,914,375	0
Total comprehensive income/(expenses) for the period net of tax	130,659,391	65,919,198	339,293,391	45,142,215
Weighted Average Earnings Per Share (Rs.)	0.61	0.32	1.56	0.22
Diluted earnings per share (Rs.)	0.61	0.32	1.56	0.22

Figures in brackets indicate deductions.

Colombo
15th February 2022

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At	31st December 2021 Rs. Unaudited	31st March 2021 Rs. Audited
ASSETS		
Cash and cash equivalents	302,508,434	225,161,509
Financial assets - fair value through other comprehensive income	987,334,390	849,632,814
Loans and receivables to customers	13,259,692,118	11,447,030,340
Investments with banks and other financial institutions	306,399,816	31,684,600
Other assets	247,057,002	269,749,720
Real estate stock	5,337,141	24,764,518
Deferred tax asset	370,832,054	370,832,054
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	40,306,397	50,664,120
Property, plant and equipment	75,085,675	61,805,370
Right of use assets	129,167,820	129,167,820
Investment properties	628,000,002	628,000,002
Total assets	17,152,146,595	14,888,918,620
LIABILITIES		
Due to banks - bank overdrafts	207,154,247	79,180,458
Deposits from customers	9,239,608,173	8,692,940,933
Interest bearing borrowings	3,564,612,571	2,650,800,328
Right-of-use of Liability	104,375,186	104,375,186
Other liabilities	756,061,949	434,886,967
Retirement benefit obligations	54,111,068	39,804,738
Total liabilities	13,925,923,193	12,041,793,348
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	330,437,030	330,437,030
Revaluation reserve	141,120,773	141,120,773
Retained earnings/(accumulated losses)	322,786,559	(16,506,832)
Total equity	3,226,223,402	2,886,930,010
Total equity and liabilities	17,152,146,595	14,888,918,620
Net assets per share	15.28	13.68

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd.
Sanjeeva Jayasinghe
Head of Finance

Sgd.
K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

Sgd.
Mr. Anil Tittawella
Chairman

Sgd.
Mr. Prakash Schaffter
Director

Colombo
15th February 2022

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the period ended 31st December 2021

	Stated Capital	Statutory reserve fund	Revaluation reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01st April, 2020	2,431,879,039	311,080,742	141,120,773	(173,870,945)	2,710,209,609
Profit/(Loss) for the nine months	-	-	-	45,142,215	45,142,215
Other comprehensive income (expense) net of taxes	-	-	-	-	-
Balance as at 31st December 2020	2,431,879,039	311,080,742	141,120,773	(128,728,730)	2,755,351,824
Balance as at 01st April, 2021	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Profit/(Loss) for the nine months	-	-	-	329,379,016	329,379,016
Other comprehensive income (expense) net of taxes				9,914,375	9,914,375
Balance as at 31st December 2021	2,431,879,039	330,437,030	141,120,773	322,786,559	3,226,223,402

Figures in brackets indicate deductions.

Colombo
15th February 2022

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the period ended 31st December

	2021 (Unaudited) Rs.	2020 (Unaudited) Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	346,624,312	49,922,012
Adjustment for:		
Depreciation/amortization	42,641,480	26,114,252
Profit on disposal of property, plant and equipment	(481,188)	(162,451)
Impairment charges for loans and receivables to customers	86,977,902	132,650,293
Finance expenses	802,017,205	1,029,348,358
Investment income	(47,473,557)	(36,094,860)
Provision for gratuity	15,165,000	12,879,000
Operating profit/(Loss) before working capital changes	1,245,471,154	1,214,656,604
Change in loans and receivables to customers	(1,007,371,946)	358,126,872
Change in other assets	(72,551,028)	(60,430,497)
Change in deposits from customers	254,231,740	(208,431,805)
Change in other liabilities	371,066,526	(130,262,667)
	790,846,447	1,173,658,507
Rent Paid	(49,963,732)	(49,963,732)
Interest paid	(797,901,515)	(754,635,470)
Income tax Paid	(17,245,296)	-
Gratuity paid	(12,154,123)	(9,148,833)
Net cash from/(used in) operating activities	(86,418,219)	359,910,472
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(40,211,274)	2,941,625
Proceeds from sale of property, plant and equipment		-
Net change in available for sale financial assets	(40,392,071)	370,504,342
Net change in investments with bank and other financial institutions	(156,734,811)	51,852,772
Investment income received	8,091,000	36,094,860
Net cash generated from/(used in) investing activities	(229,247,156)	461,393,598
Cash flows from financing activities		
Interest bearing borrowings obtained	3,103,000,000	2,935,690,602
Repayment of interest bearing borrowings	(2,127,169,424)	(3,363,810,618)
Interest Paid on Borrowings	(253,721,863)	(253,721,863)
Net cash generated from/(used in) financing activities	722,108,713	(681,841,879)
Net change in cash and cash equivalents	406,443,338	139,462,191
Cash and cash equivalents at the beginning of the period	(194,895,886)	(194,895,886)
Cash and cash equivalents at the end of the period (Note A)	211,547,452	(55,433,695)
Analysis of cash and cash equivalents at the end of the period		
Cash in hand	193,700,925	106,247,735
Cash at bank	108,807,509	176,089,204
Bank overdrafts - secured	(90,960,981)	(337,770,633)
	211,547,452	(55,433,695)

Figures in brackets indicate deductions.

Colombo
15th February 2022

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2021. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 According to the CBSL circular No.06 of 2021 company applied only up to 10.68% p.a. interest rate for the third moratorium granted contracts and as a result of that Rs.31.4 Mn income had foregone for the period ended 30 September 2021.
- 5 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2021.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital

	31-Dec-21	31-Dec-20
Value of Ordinary Shares (Rs.)	2,431,879,039	2,431,879,039
No. of Ordinary Shares	211,101,155	211,101,155

Share Price During the Period

For the Quarter Ended

		31-Dec-21	31-Dec-20
Highest	(Rs)	17.50	12.80
Lowest	(Rs)	12.40	8.00
Closing	(Rs)	16.00	11.80

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 31 December 2021**

	Name	No. of Shares	%
1	Janashakthi PLC Account No 01	95,455,437	45.22
2	Seylan Bank PLC/Janashakthi PLC (Collateral)	90,000,000	42.63
3	Commercial Bank of Ceylon PLC/Janashakthi PLC	10,555,057	5.00
4	First Capital PLC	2,138,299	1.01
5	Sandwave Limited	1,000,000	0.47
6	Hatton National Bank PLC/Sashimaal Ruhash Fernando	808,681	0.38
7	Mr. L.P. Mendis	566,495	0.27
8	Mr.R.A.B.K.Kumara	500,000	0.24
9	Hatton National Bank PLC/Mushtaq Mohamed Fuad	402,557	0.19
10	Mr.N.L.S. Fernando	367,677	0.17
11	Mrs.I.P.I.L. Gunathilaka	363,571	0.17
12	Commercial Credit and Finance PLC	330,000	0.16
13	Peoples Leasing & Finance PLC/L.P.Hapangama	321,488	0.15
14	Mr.A.S.A.Fernando	316,100	0.15
15	Peoples Leasing & Finance PLC/Mr.D.M.P.Disanayake	264,868	0.13
16	Seylan Bank PLC/Mohamed Mushtaq Fuad	241,592	0.11
17	Seylan Bank PLC/Karagoda Loku Gamage Udayananda	227,965	0.11
18	DFCC Bank PLC/G.A.C. De Silva	223,970	0.11
19	Mrs.V.Saraswathi	216,100	0.10
20	Mr.M.K. De Livera	207,628	0.10
	Others	6,593,670	3.12
	Total	211,101,155	100.00

Directors' Shareholding as at 31 December 2021

	Name of the Director	No. of Shares	%
1	Mr. K. M. A. T. B. Tittawella - Chairman	-	-
2	Mr. Prakash Anand Schaffter	10	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Ramesh Schaffter	10	-
6	Mr. Sriyan Cooray	-	-
7	Mr. K.M.M. Jabir	-	-
8	Mr. R.M.D.J.Ratnayake	-	-
9	Mr.K.M.M.Jabir	-	-
10	Mr.Nalin Karunaratne	-	-
	Total	20	

CEO's Shareholding as at 31 December 2021

Mr. K. M.M. Jabir	-	-
-------------------	---	---

Public Holding as at 31 December 2021

	12,952,322
Number of Public Shareholders	793
Public Shareholding Percentage	6.14%
Float Adjusted market capitalization (Rs)	207,385,775

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 31st Dec	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Others		Total	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Interest income	1,411,550,195	1,282,602,129	111,429,750	117,826,033	3,368,529	17,406,927	376,346,259	320,465,769	47,473,557	37,125,874	1,950,168,290	1,775,426,732
Fee and commission income	35,815,448	66,887,728	11,938,483	2,094,986	2,266,598	2,007,679	-	7,286,488	75,458,548	12,125,489	125,479,076	90,402,371
Other income	25,324,276	9,638,411		3,273,403		804,117.66		8,679,580	62,374,299	25,125,780	87,698,575	47,521,291
Total segmental income	1,433,505,411	1,433,505,411	123,368,232	123,194,422	20,218,724	20,218,724	336,431,837	336,431,837	185,306,404	74,377,143	2,163,345,941	1,913,350,394
Less: Interest expense	(452,230,992)	(690,893,694)	(50,702,953)	(70,904,465)	(2,463,045)	(17,417,818)	(149,933,248)	(188,006,491)	(170,600,394)	(62,125,890)	(825,930,632)	(1,029,348,358)
Segmental results	981,274,419	680,485,827	72,665,279	52,289,957	17,755,679	2,800,906	186,498,589	148,425,346	14,706,009	12,251,253	1,337,415,309	884,002,036
Depreciation and amortization	(29,124,214)	(19,103,876)	(2,506,445)	(1,798,825)	(410,779)	(441,885)	(6,835,212)	(4,769,667)	(3,764,829)	(2,125,741)	(42,641,480)	(26,114,252)
Impairment charge	(56,039,434)	(116,345,813)	(6,220,534)	(10,955,144)	(6,010,508)	(5,349,336)		-	(16,277,733)	(2,984,125)	(84,548,209)	(132,650,293)
Other Expenses	(643,069,845)	(493,970,596)	(50,179,299)	(46,529,701)	(8,223,846)	(11,461,171)	(136,841,659)	(123,354,012)	(15,372,283)	(18,125,450)	(853,686,933)	(675,315,479)
Income tax	(11,778,571)	(3,552,967)	(1,013,670)	(317,211)	(166,130)	(46,862.86)	(2,764,333)	(862,757)	(1,522,593)	(255,123)	(17,245,296)	(4,779,797)
Profit/(loss) after tax	241,262,355	47,512,576	12,745,332	(7,310,923)	2,944,415	(14,498,349)	40,057,385	19,438,911	(36,937,438)	(23,490,439)	339,293,391	45,142,215
Segmental assets	8,456,988,276	9,668,627,852	1,987,468,452	1,082,150,097	51,150,188	205,174,030	3,113,671,960	2,214,631,581	3,542,867,719	1,824,022,320	17,152,146,595	14,994,605,880
Segmental liabilities	6,866,275,805	7,828,173,081	1,613,636,687	843,074,901	41,529,122	207,102,965	2,528,007,578	2,235,452,352	2,876,474,001	1,125,450,756	11,049,449,192	12,239,254,056